

WCF

WCF Ltd Annual Report & Financial Statements 2022



Niche Retailing



Specialist Distribution



Leisure

WCF LTD

WCF will use its financial strength, leadership support and employee ownership structure to develop our existing businesses and to find, acquire, integrate, invest in and build strong and diverse niche businesses looking to achieve stability of ownership and superior levels of return.

Using our decentralised structure, we will achieve higher levels of employee engagement and productivity than our competitors to create responsible and sustainable long-term value for our shareholders, whilst sharing the benefits of co-owned success with all our colleagues.

THE GROUP

RETAIL

WCF Pet & Equestrian
WCF Select
WCF Home Shopping - Country Collection
- James Meade
- The Classic Boutique

DISTRIBUTION

WCF Fuels North West
WCF Chandlers
WCF Fuels North East
Allan Stobart Lubricants and Fuels
WCF Horticulture
A1 Lawn
Progreen Weed Control Solutions

LEISURE

Herding Hill Farm
Herding Campers
Drummohr
Longnor Wood Holiday Park

DIRECTORS AND OFFICERS

NON EXECUTIVE

D.A. Routledge C.I.P.D. - Chairman
M.S. Ward F.C.A.
R Jenkins

EXECUTIVE

Managing Director - J.L. Ritzema F.C.A. CDir
Deputy Managing Director - P.J. Murray A.C.A.

REGISTERED OFFICE

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SOLICITOR

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Carlisle
CA3 0JW

AUDITOR

MHA Moore & Smalley
Kendal House
Murley Moss Business Village
Oxenholme Road
Kendal
LA9 7BL

CHAIRMAN'S STATEMENT

FINANCIAL RESULT

I am delighted to report that operating profits grew £1.9m to £5.8m in the year.

Our results for 21/22 reflect the extraordinary impact that media coverage over the shortage of HGV drivers in September 2021 had on the demand for fuel and the ongoing impact of the war in Ukraine on global energy supply and pricing. This created abnormal peaks in demand and widely fluctuating oil prices. Thanks to our strong relationships with suppliers, our positive credit rating and our storage facilities we were able to purchase fuel on both a contract and a spot basis to help hedge the impact of these peaks and troughs on our customers and ensure that we had a continued supply of fuel throughout the turmoil. This had a positive impact on the profits from our fuels businesses which were up £3.2m year on year.

Overall revenues rose by 61%, as fuel prices hit record highs. Excluding Fuels, revenues rose almost £2.2m or 8.9%. Gross margin decreased from 15.6% to 12.7% as a result.

21/22 continued to be influenced by the COVID 19 pandemic and our businesses have once again proven to be remarkably resilient as our customers resumed their normal activities. All of our businesses are tackling rising costs and we are seeking to mitigate these wherever possible through new ways of working and increasing our average order size. The boom in staycations post lockdown has benefitted our leisure businesses and there continues to be high interest in pet ownership and gardening. Revenues from our retail stores rose 9% and we continue to invest in the digital transition of our own brands to support our stores. With a new management team in place for 2022 we expect additional strong growth.

CASHFLOW

Group shareholders' funds grew from £35m to £39m. Cash at bank and investments fell from £18.5m to £13.9m, as a result of higher working capital requirements in fuels and £5m spent on the acquisitions of Progreen Weed Control Solutions and Longnor Wood. We generated cash of £3.9m from operating activities. Excluding acquisitions, we spent a further £1.7m on capital expenditure, including the continued refurbishment of Drummohr and the creation of the new Castle Pod luxury glamping development at Herding Hill Farm. We will continue to re-invest in our campsites to provide the best possible guest experience and amenities and build public awareness of our sites. These investments increase the value of our leisure asset base and will further strengthen our balance sheet.

ACQUISITION ACTIVITY

In April 2022 we acquired our third leisure business in 3 years, with the acquisition of JD Leisure Limited, which owned the adults only Longnor Wood Holiday Park in the heart of the Peak District for £1.9m. This is consistent with our strategy to build a portfolio of 5-star camping, glamping and lodge rental sites in gorgeous locations. This tranquil park is located within a 2-hour drive for over 50% of the English population. We are delighted that the second generation of the family business have all joined WCF to continue the journey of development for the site.

Following the acquisition of A1 Lawn, we expanded our e-commerce retail business for seed, pesticides, weedkiller and fertiliser with the acquisition of Progreen Weed Control Solutions Limited based in Bourne. Progreen specialises in the sale of niche products, soil analysis and training to the professional amenity sector and has a number of specialist own brand trademarks. This acquisition is consistent with our strategy to develop own brand, value-adding e-commerce revenues.

I would like to thank Jo, Phil and the executive team for all their help in successfully integrating these new businesses and to welcome our new colleagues into the WCF family. We continue to proactively seek and evaluate complementary strategic acquisitions.

DIVIDEND

A copy of the Dividend Policy, which links shareholder income directly to our current year financial success, is included at the rear of this Annual Report. As a result of our exceptional performance this year the directors have declared a dividend of 73.0 pence per share. Shareholders should recognise that this dividend contains some element of non-recurring income in respect of the performance of our fuels business caused by circumstances outside our control.

This will be paid on or before 2nd December 2022 to all shareholders on the register of members at 7th September 2022.

AGM

The Directors are continuing with their agreed policy of not holding a shareholder Annual General Meeting. A shareholder update will be held virtually to which shareholders are invited to submit any questions in advance. It is not a legal requirement for a private limited company that does not have its shares admitted to trading on a regulated market in an EEA state, nor is it mandatory under our Articles of Association. There are no matters requiring explicit shareholder approval. The directors believe that their approval of the annual report and accounts and the declaration of the proposed dividend are in the best interests of the Company and its shareholders as a whole.

OUR EMPLOYEE OWNERS

Our employee owners are our key stakeholders and we have invested considerably in their development, well-being and engagement in the year. We have over 60 future leaders participating in internal and external leadership academies and are already seeing the benefits of these programs through improved curiosity, collaboration and engagement. We have multiple employee financial and mental well-being support initiatives and the launch of an internal communication app has really brought our teams together in sharing what individual businesses and employee owners are focussing on, allowing us to celebrate our successes as they happen.

Our own employee owners are feeling the pressure of increased inflation and we are supporting the lowest paid by becoming a living wage employer. We awarded a £750 "energy bonus" as a gesture of goodwill to all our employees in April and our employee owners will benefit from an increased employee ownership dividend this year as a result of our excellent financial performance.

OUTLOOK

Few of us could have predicted what has happened since 2020 and there remain concerns around the stability of the global economy and its impact on the cost of living closer to home, as well as the continued war in Ukraine and rising energy costs. We face considerable supply chain challenges and must remain ahead of the game to ensure that we have the products we need at the right time, at the right price. The delivery of our strategy depends on our ability to attract and retain the right talent and our employee ownership model remains a key tool in keeping engaged and curious people in diverse, interesting and meaningful roles.

We have an agreed strategy for the group, as well as robust individual business development plans that support our vision and mission. These form the roadmap through which the Board and senior leadership teams steer WCF. Our robust balance sheet allows us to focus on growth opportunities for all our individual sectors whilst managing the inevitable shifts towards biofuels and the ongoing digital transition. The centralisation of our marketing expertise will provide the platform for future growth across the group.

On behalf of the Board, I would like to thank our employee owners for their continued hard work and commitment to the WCF Family and to our customers. Through their efforts we continue to make sustained and profitable progress. They continue to go above and beyond for WCF in volatile circumstances. I would also like to thank my fellow directors for their continued input and support and to Jo, Phil and the rest of the senior team for continuing to lead WCF through these challenging times with purpose and with energy.

David A Routledge – Non-Executive Chairman



ANNUAL SUMMARY

SPECIALISED DISTRIBUTION

Combined profits from our fuels businesses excluding the impact of goodwill were up on last year. Volumes across were up 11.4% on the prior year. Average bulk pence per litre margin was 34.4% higher than last year. Our colleagues in fuels have coped amazingly well under extreme pressure and are to be congratulated on their resilience during this challenging time.

There were three events in the financial year on top of the pandemic that created abnormal peaks in demand across **FUEL OIL DISTRIBUTION** and pushed up both volume and average margin. The first was the well-publicised shortage of HGV drivers in September which created petrol station shortages. This in turn resulted in panic buying across other sectors. The second was the war in Ukraine and shifting supply situation as governments sought to ban Russian oil from their supply chain and the resulting huge rises in energy costs and inflationary pressures. We have no control over the price of oil and the market has reacted by making a fundamental shift up in average margins. With no immediate changes in these market dynamics expected, and continued pressures on supply, we estimate these margins to remain above average for the foreseeable future. Finally, government changes on the duty applied to red diesel in April has resulted in product changes for many of our construction and non-agricultural customers.

Our strong balance sheet helped us maintain credit with a large number of suppliers and mitigate the impact of product shortages. We have a number of different supply arrangements and this, alongside our extensive depot network, meant we were able to buy and store fuel when it became available. The higher product prices inevitably place a strain on our working capital and we are aiming to get as many commercial customers onto direct debit to mitigate the impact of this. We have a number of things in place to allow us to support our customers financially whilst prices remain high.

We have successfully consolidated our marketing activity through the creation of a combined Fuels Marketing Manager role. This will ensure consistency across our loyalty schemes, customer review platforms, websites and ensure that learnings from any promotional activity are applied across the group. Furthermore, we have introduced a centralised Driver Training Role to provide further consistency in operational practices and customer service standards. This role has been fundamental in the creation and delivery of the WCF Driver Academy.

Whilst we increased our average driver wage rates, our high levels of driver engagement and other employee owner benefits means that our driver retention rates remain high despite pressures elsewhere in the industry. Our first ever Driver Academy has been a huge success, with the first driver apprentices graduating in the Spring and a second academy has already been launched. Demand for vehicles remains high, with long lead times for new vehicles. We are seeking overseas manufacturers and sourcing second-hand vehicles to deliver the additional capacity we need as well as moving vehicles between depots if required.

We are aware of the environmental impact of fossil fuels and are actively working with the industry body UKIFDA and government to promote the development and use of biofuels to reduce emissions. We are also helping our customers to ensure that they are future fuels ready. This includes participating in trials of hydrogenated vegetable oil (HVO). Our tankers are able to carry HVO but the price currently remains too high for most customers and product availability is limited.

To improve resilience within our largest fuels business **CHANDLERS** we introduced a minimum 3 tanker policy at each depot. This has been hugely successful allowing us to benefit from the peaks in demand. Volumes at Chandlers were up 16.5% on last year. Our market share in Norfolk continues to grow and we will be adding a fifth vehicle into the depot in 22/23. We focussed on improving the efficiency of our routing by targeting sales in specific areas and focussing on “green routes”. Using our new websites, we are focussed on increasing orders online.





The implementation of a new order processing and routing software at **ALLAN STOBART LUBRICANTS & FUELS** brings this business in line with the others and has allowed us to make productivity and efficiency improvements including paperless routing. On-truck computers will be on all vehicles by the end of 2022. A focus on commercial volumes has been incredibly successful and we are now seeking geographical expansion opportunities. An online ordering system and loyalty scheme will be launched in the next 12 months.

To maximise its high levels of customer retention **FUELS NORTH WEST** will launch a customer loyalty scheme and is seeking to automate its workflows to improve our customer touch points. During the year we expanded South, deploying additional vehicles to South Manchester and Cheshire and we continue to seek a location for a new depot in the South of our trading area. We continue to recruit into business development.

FUELS NORTH EAST is focussed on implementing on-truck computing and customer workflows to automate the customer journey and provide them with the best possible experience. With large numbers of online customers choosing to checkout as a guest, focus will be spent improving the website experience to encourage them to create an account and engage with us via social media.



After a boom in demand in 20/21 **WCF HORTICULTURE** suffered a reduction in volumes as the end of lockdowns meant people starting to pursue other leisure activities than growing their own vegetables. There was also a shift in retail strategy with one large supermarket chain dropping the range during the year. We remain unable to supply product into Ireland as a result of Brexit. We expect volumes to continue to fall and operational costs and resource are shared with A1 Lawn which operates on the same site and is seasonally complimentary to seed potatoes.

LEISURE

Our campsites enjoyed a busy Summer of 2021 with the easing of UK lockdown restrictions and a continued ban on travel overseas helping many people try camping or glamping for the first time. Our objective is to retain these new guests for short breaks and to encourage them to become our brand ambassadors. The difference in restrictions between the devolved nations produced travel uncertainties which adversely impacted on our Scottish campsite which also saw a reduction in overseas visitors to Edinburgh.

Our new Castle Pod luxury glamping pod development at **HERDING HILL FARM** opened on 1st April and we aim to attract an alternative adult-only market to this refurbished section of the site. Thanks to the professionalism and attention of the on-site team, the site continues to receive 5-star guest reviews and growing popularity and awareness. Revenues were up 88.1% on the prior year and EBITDA totalled £0.2m. The majority of bookings are organically or directly generated without the use of commission-based partnerships which shows the strength of the brand awareness the site enjoys. Whilst the site is extremely popular with families at weekends and in school holidays there remains opportunity to increase mid-week occupancy. We continue to invest in improving the site amenity and facilities. Our priority for 2022 is to deliver the required return on investment from the new pods and build on the site as a stargazing destination.





We have undertaken a considerable program of site maintenance and improvement at **DRUMMOHR** to both landscaping and external features, the playpark and to the fleet of holiday lodges. Additional hot tubs have been installed and the lodges given a coastal contemporary feel to compliment the location of the site. A new website and booking system were installed in 2021 and we are promoting the site as the perfect place to enjoy the best of both worlds of Edinburgh city and the East Lothian coast. We are increasing our numbers of engaged social media followers and those who choose to

book directly with the site. EBITDA at the site in the year was £0.2m after a number of one-off maintenance costs were expensed in the year. Revenues were £0.75m. The refurbishments will continue in 22/23 with new amenity blocks and additional lodge refreshes. We remain on track to achieve our desired 5-star status in 2023.

With **LONGNOR WOOD** only being acquired at the end of April 2022, the site had no material impact on the group results for the year. Being adults-only, the site offers some opportunity for seasonal offset away from the school holidays and works in partnership with Hoseasons for its lodge bookings. The lodge interiors will be refreshed in 2022 and a new waste treatment plant installed. A new brand identity has already been created and a new website will be rolled out in the Summer which we will use to promote both the site and the benefits of its Peak District location.

The reduced rate of VAT on hospitality was 5% to September 2021 and 12.5% between September 2021 and April 2022. We will continue to approach other camping and glamping sites in Southern Scotland and Northern England to complement our site portfolio of 4/5 star rated leisure parks.

NICHE RETAILING

Net revenues in **HOME SHOPPING** finished slightly ahead of the prior year at almost £12m. Our Autumn Winter trading season was impacted by the ending of COVID restrictions as customers resumed their normal activities which dampened response rates. Our advertising campaigns continue to perform strongly, and whilst we did not see the same level of returns as during the pandemic, we still attracted almost 50,000 new customers. Media sales accounted for a quarter of all revenues.

Our average returns increased and averaged 16.6% (Prior Year 13.8%). This is still low when compared to the industry average and reflects the high levels of customer loyalty and retention we enjoy. Online revenues rose to 30.4%. Revenues from new products increased to 41% (from 31% in 20/21) as we continue our range expansion and product development. Our target is 50% whilst reflecting the importance of our essential items and cross seasonal offering.



Catalogue overheads rose as a result of cost pressures in the printing process on both paper and energy. We changed our catalogue formats and our mailing plans to mitigate these higher costs. The catalogue remains our primary marketing tool and is the main driver of both on and off-line sales. We have undertaken a de-duplication exercise across our entire customer database to ensure that customers are not sent more catalogues they need to improve our environmental footprint. In the year we removed poly-wrap from our catalogue mailings, ensured that product packaging was recyclable and changed from poly to paper for our despatch bags.

Average gross margin % rose by 0.5%, with order values up an average of 2% with an increased focus on helping our customers find additional products with which to style their key pieces to reduce their cost per wear. Telephone sales cross-selling increased to £0.4m. We continue to diversify our supply chain to mitigate the continued impact of increased cost prices on our products and to increase our ability to deliver on our 90% on time despatch target.

We will support our customers with their continued digital transition whilst ensuring that we do not alienate our more mature customers from being able to place an order. Being able to communicate directly with customers digitally to seek their views on colours and designs is invaluable. Our challenge is to record all their brand interactions on and offline to enable us to personalise our communications as much as possible to improve both response and conversion rates from the valuable customer data we hold.

PET & EQUESTRIAN enjoyed another year of growth, with revenues up a further 9% on last year. Average gross margin % increased by 2.9%. We continue to expand our range of own brand feed and accessories which attract a higher margin as well as growing online own brand sales through our re-launched website and Amazon. Own brand sales were 28% of revenue. Under our new General Manager Jade Earley we are conducting a review of our own brand positioning in the marketplace and in store as well as seeking to expand the range. We will be refreshing our individual store identities and ensuring that we continue to interact with our local communities to build social responsibility and meaningful connections with our customers.



Our customer loyalty scheme launched at the start of the year and has been a huge success, with almost 21,000 customers joining the scheme and 36% of sales in 21/22 being registered with a loyalty card. We will now start to use the data to ensure that we continue to present our customers with the products and services they need, as well as providing targeted promotions. The loyalty scheme will be extended to online sales in 21/22 and we will be looking at a number of subscription opportunities.

After a very strong financial performance during lockdown **A1 LAWN** sales returned to more normal levels, down 32% on 20/21 but still ahead of their pre-acquisition averages. Amazon sales fell from 74% of the total to 68% as we encountered some listing issues and competition from overseas increased. Improved brand awareness should encourage our customers to order from us direct and we will launch a new website in 22/23 as well as allocating digital resource to our marketing activities. The business returned a profit of £0.2m, consistent with our acquisition objectives. Resources are being re-aligned in 22/23 to ensure that more people are focussed on the growth strategy.



With the acquisition of **PROGREEN** in November 2021 both businesses are working to align their product offerings to their relative markets, with an integrated in-house despatch process between the businesses to improve the efficiency of our storage and picking processes. We are seeking larger warehouse premises for our e-commerce activities. We will develop additional

training and soil analysis revenues and provide our customers increased access to automated technical advice. We will target third-party marketplaces with our own brand solutions and increase our social media presence as we seek to process 85% of all orders online by the end of the year. Progreen made a profit of £0.2m in the period since acquisition.

STRATEGIC REPORT

The Directors present their strategic report for the 52 weeks ended 28th May 2022.

PRINCIPAL ACTIVITIES

The principal activities of WCF are niche retailing, leisure and specialised distribution, through a portfolio of brands which can be seen on the rear cover of the Annual Report. The company is structured into a series of decentralised business units, with the majority of decision making delegated to the individual units. This empowers entrepreneurial leadership and allows employees to respond to the needs of customers flexibly and promptly, whilst engendering a sense of collective ownership and responsibility. The local teams are supported by a central pool of expertise, including finance, IT, H&S, HR, compliance and estates and facilities.

A detailed review of operations is included in the Chairman's Statement and Business Review.

BUSINESS REVIEW AND FUTURE DEVELOPMENTS

Profit after tax for the year as shown on page 17 amounted to £4,042,000 (2021: £3,634,000). Shareholders' funds as shown on page 19 total £38,787,000 (2021: £35,064,000).

A review of the business and future developments is included in the Chairman's Statement and Business Review.

BUSINESS ENVIRONMENT

The bulk fuel oil distribution market is fragmented and supports a consolidation strategy designed to increase market share and customer retention. The proven depot operating model provides operational resilience and we intend to operate minimum depot sizes going forward. The market is highly seasonal and will always be impacted by the weather, with a high proportion of bulk margin being generated from domestic heating oil. The industry body UKIFDA is working closely to respond to the impact of the government's new Clean Air Strategy on liquid fuels and an increasing portion of fuel carried now contains some bio element. Fluctuations in the price of crude oil are monitored daily and the impact of these passed on in our prices to our customers. Significant and sudden changes in the price of oil will impact on our working capital as well as our customer credit limits.

The retail businesses are to a large extent driven by wider consumer confidence and demand. These are more susceptible to the wider economic and political climate. However, the mature niche in which the Home Shopping business operates ensures a high market share in this sector, with high levels of customer retention.

Demand for pet ownership, gardening and staycations is expected to remain strong.

WCF is predominately a UK business, however the implications on tariffs and exchange rate volatility, particularly following Britain's exit from the European Union at the end of 2020, will ultimately impact on commodity and raw material input prices, even where these goods are manufactured in the UK. The Home Shopping business relies to a large extent on overseas suppliers and the implications of this are monitored when designing product ranges, dual sourcing wherever possible and hedging foreign currency exposure. There has not been any material change in demand for goods and services as a direct result of Brexit. The decision to exclude seed potatoes from the EU trading agreement means we are no longer able to supply Scottish product to our Irish or EU customers.

STRATEGY

The company uses its financial strength, leadership support and employee ownership structure to develop its existing businesses. It finds, acquires, integrates, invests in and builds strong and diverse niche businesses looking to achieve stability of ownership and superior levels of return. Using its decentralised structure, the company aims to achieve higher levels of employee engagement than its competitors to create responsible and sustainable long-term value for its shareholders, whilst sharing the benefits of co-owned success with all its colleagues.

The company's mix of diversified income streams is designed to minimise risk by having a broad spread of activities and locations. This limits the impact of adverse performance in any single business. The company's results continue to be driven by its Home Shopping and bulk fuel oil distribution businesses on account of their size. The revenues of the company are heavily weighted towards the Winter although the development of a Summer leisure business and our amenity business will reduce this mix over time. The company has a long track record of organic and acquisitive growth and has a focussed acquisition strategy. Each business unit has their own strategic plan focused around the key areas of customer retention, financial performance, people and culture, continuous improvement and environmental/H&S.

To grow market share and profitability the company seeks to increase retention and referral, extend its share of a customer's total spend by increasing both frequency and average order value, develop new products and engage its people in meaningful, diverse and interesting roles to find new ways to work to improve efficiency, productivity and availability.

KEY PERFORMANCE INDICATORS (KPI'S)

Each individual business has a unique set of measures that are used to evaluate performance and communicate strategic and financial progress to their employees and to the Board. These measures are monitored monthly against benchmarks, prior year actuals and current year targets and revised annually as part of the annual budgeting process.

Financial measures include turnover, volumes, gross or bulk margin, operating profit, stock turn, average transaction values, customer acquisition and retention.

Targets include % of own brand, customer retention and feedback, new customers, cost per acquisition, catalogue response rates, on time despatch and supplier performance, lost sales, cross-selling, occupancy, miles per drop, transport costs per litre and number of deliveries. Internet performance is measured via advertising cost of sale, visitor numbers and conversion rates. H&S performance is monitored closely, with all accidents, incidents and near misses recorded and investigated, no matter how minor. Employee engagement is measured using staff turnover, promoter scores and participation in employee surveys.

PRINCIPAL RISKS AND UNCERTAINTIES

The company's diverse operations expose it to a number of risks. The Board is responsible for risk management and monitors the key risks to identify, evaluate and prioritise, as well as ensuring that suitable processes are in place to avoid, control or mitigate where possible.

The principal risks and uncertainties affecting the group include the following:

- **Cyber security event resulting in operational disruption or a breach of confidential or sensitive data** – the company recognises the threat of cyber fraud and has measures in place to protect its systems and information from attack which could inhibit our ability to operate effectively. Our IT systems are centralised, allowing all our individual businesses to benefit from control measures to protect us from business interruption and provide disaster recovery should we be the target of a cyber threat. The company has close relationships and outsourced support agreements with key software, hardware and network vendors.
- **Breach of regulation or occurrence of a major health, safety or environmental incident** – the company has an ongoing process for ensuring that its vehicles, depots and processes are compliant with current and forthcoming legislation and regulation and uses both internal and external audit mechanisms to verify that these are acting as intended. Both directly and via its membership of associated trade bodies, the company strives to incorporate best practice into its processes and employs appropriately qualified and experienced personnel responsible for compliance.
- **Supply chain disruption** – the majority of purchases are made from UK long standing supply partners and are dual sourced wherever possible to maintain continuity of supply. In many cases though we are reliant on an ultimate supply chain based outside the UK. The business, regulatory and economic risks of Brexit remain. All our fuels businesses have the ability to store a small amount of stock and switch to alternative supply sources.

In retail, where disruption to supply did arise, we would try to switch customers to alternative products or de-list products if required.

- **Failure to grow market share and seize new opportunities, as well as realising the benefits of strategic acquisitions** – the company is engaged in ongoing reviews of competitor activity, as well as evaluation of business development and acquisition opportunities. Detailed strategic plans are in place. Digital and offline marketing programs promote referral and customer retention, as well as winning new customers and markets. Extensive use of customer data is made to understand their patterns, trends and behaviours and influence strategic decision making.

- **Insufficient bandwidth of key people and failure to attract the right people to our roles** – succession planning and personal development of employees is a key part of the strategic planning process to ensure the recruitment, retention and development of the right people. Employee surveys are utilised to monitor engagement. We are aiming to have deputies in place for all key roles and have developed a series of leadership development academies to equip our stars of the future with the right skills. We are committed to promoting the benefits of employee ownership to ensure that this remains a point of difference for those who choose to work with us.

- **Over-reliance on specific income streams** – with Fuels, Home Shopping, Retail, Leisure and Horticulture we have a diversified income stream, with diversified customer bases within each business. There are no major customer contracts in place that would materially impact on revenues. Whilst the business has traditionally been seasonally weighted towards Winter, this is being addressed by the expansion into Leisure. However, demand for bulk fuel oil is impacted by the weather and the severity of Winter drives demand for domestic heating oil. This creates a risk of volatility in earnings, which we seek to mitigate by providing a range of fuel oils to different markets and customers. Through the company we operate a mix of sales channels.

- **Covid 19** – the continuing impact of the pandemic, impacts on our own operations and consumer confidence in general. However, the diverse nature of our operations provides us with a high degree of business resilience. Our priority is to safeguard the wellbeing of employees and customers, whilst ensuring continuity of service.

- **Unexpected financial expenditure and credit risk** – the company's decentralised structure relies on a high level of devolved authority. Payment risk is mitigated by having dual payment authorisation. Credit checks are performed on all commercial customers and assigned credit limits are closely monitored, with attention being given to oil prices and the pandemic. Credit insurance is maintained on higher level accounts. In our B2C businesses, payments are made in advance by credit or debit card.

- **Inability to meet pension scheme obligations** – the defined benefit pension scheme is closed to both new members and to future accrual. Liabilities of retirees are currently bought out with an insurance company. The company works closely with the Independent Trustee to monitor and review investment policy and funding requirements and to identify opportunities to mitigate risk.

By order of the board
P.A. Murray, Company Secretary
7 September 2022

DIRECTORS' REPORT

The Directors present their annual report and audited financial statements for the 52 weeks ended 28 May 2022.

DIVIDENDS

The directors authorised an ordinary dividend in respect of the current financial year of 73p per share (2021: 55p) totalling £2,754,000 (2021: £2,075,000). This has not been included within creditors as it was not approved by the directors before the year end.

DIRECTORS AND OFFICERS

The directors and officers who held office during the year were as follows:

P.A. Murray (Company Secretary)	D.A. Routledge
P.J. Murray	M.S. Ward
J.L. Ritzema	R.J. Jenkins

Under the Companies Act 2006 there is no requirement for the directors of a private company to retire by rotation.

At no time during the year did any director have a material interest in a contract with the company other than as a customer in the normal course of business; these contracts were not significant in relation to the company's activities. No directors benefited from qualifying third party indemnity provisions.

COMMITMENT TO SECTION 172 AND OTHER STAKEHOLDER ENGAGEMENT

Section 172 of the Companies Act 2006 states that the directors must act in the way they consider, in good faith, would most likely promote the success of the company for the benefit of its members, taking into account the long-term consequences of their decisions on the interests of all stakeholders, including employees, as well as the need to act fairly between the stakeholders. The company recognises the need to foster strong business partnerships with its key suppliers and customers and consider the impact of its operations on the community and environment. Our employees are our most important asset.

Our customers are always at the heart of our decision making and we are passionate about delivering quality of product and service. We seek feedback regularly through surveys, review sites, account management and direct conversation and use any constructive feedback to ensure we improve what we do.

Our suppliers are crucial and we work with a small number of key supply partners on a mutually beneficial basis. We have policies around anti-bribery and corruption and comply with the Modern Slavery Act 2015 and are contributing members of relevant trade and industry bodies.

We support and encourage sustainable practices and are mindful of the impact of what we do on the environment, as well as investing in technology to improve the efficiency of our transport planning operations. We have a continued program of depot improvement and planned maintenance.

We publish our gender pay gap annually, recognising that there are significant difference in roles between our various diversified businesses. We work closely within the rural communities in which our operations are located.

We are confident that our business decisions are made with the intention of doing the right thing for our key stakeholders and are committed to the highest standards of professional and business conduct.

EMPLOYMENT

Under the leadership of individual General Managers, the company operates a decentralised structure, giving employees the autonomy and responsibility they need to make the day to day decisions required to deliver exceptional customer service.

The company tries to consider employee views as much as possible through the use of email newsletters, suggestion and nomination schemes, surveys, forums, one to ones, toolbox talks and focus groups to ensure there is adequate consultation and communication on matters that are likely to affect their interests. Along with our risk assessments and safe systems of work, these are also used to ensure the health, safety and welfare at work of all our employees, customers, contractors and visitors.

Our Guiding Principles form the cultural contract between the company and its employees in respect of the values and the behaviours we expect from all our staff. These are reinforced in our communications, training, personnel policies and behavioral job descriptions.

The company is strongly committed to employee share ownership and operates Save as You Earn, Partnership Share and Profit Share Schemes for all employees. All employees benefit from an annual employee ownership dividend allowing them to share in our financial success.

WCF operates an equal opportunities employment policy and is opposed to all forms of discrimination. Our selection processes always seek to give full and fair consideration to all applicants taking into account their aptitude, skills and experience. The company ensures that the training, career development and promotion of its employees is not discriminatory in any way. In the event of employees becoming disabled, every effort is made to ensure their employment continues and appropriate training arranged.



FUTURE DEVELOPMENTS

An indication of future developments is included in the Chairman's Statement & Business Review.

STRATEGIC REPORT

The information required by schedule 7 of the large and medium sized Companies and Groups (accounts and reports) Regulations 2008 has been included in the separate strategic report in accordance with section 414 c of the Companies Act 2006.

ENERGY AND EMISSIONS

UK energy use covers all our selling, administration, warehouse, retail, leisure and logistics activities. Associated greenhouse gases have been calculated using GHG Reporting Standard - Corporate Protocol. WCF is registered as compliant with the Energy Savings Opportunity Scheme (ESOS). The majority of our energy usage is diesel for the tankers used in our oil distribution business and electricity on our campsites. In the period covered by the report the company has undertaken a number of energy efficient actions by installing LED lighting, replacing old equipment, introducing vehicle telematics and safe and efficient driver training and automated routing software and reducing our use of single use plastics. We continue to improve our routing software to eliminate unnecessary mileage.

	2022	2021
UK Energy Use kWh	13, 241,987	12,641,939
Associated greenhouse gas emissions kg Co2e	3,319,772	3,132,964
Intensity Ratio Emissions per number of employees	10,215	10,306

We have calculated the carbon emissions and kWh figures using the UK Government's 2022 Conversion Factors for company reporting.

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, DIRECTORS' REPORT AND THE FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice) including FRS102, *The Financial Reporting Standard applicable in the UK and Republic of Ireland*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and company and of the profit or loss of the group for that period.

In preparing the group financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed subject to any material departures disclosed and explained in the financial statements; and
- prepare the consolidated financial statements on the going concern basis unless it is inappropriate to presume that the group and company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company and group's transactions and disclose with reasonable accuracy at any time the financial position of the company and the group and enable them to ensure that the financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and company and to prevent and detect fraud and other irregularities.

DISCLOSURE OF INFORMATION TO AUDITOR

The directors who held office at the date of approval of this directors' report confirm that, so far as each of them are aware, there is no information relevant to the audit of the company's consolidated financial statements for the 52 weeks ended 28 May 2022 of which the company's auditor is unaware; and each director has taken all the steps that they ought to have taken as a director to make themselves aware of any relevant audit information and to establish that the company's auditor is aware of that information.

By order of the board
P.A. Murray, Company Secretary
7 September 2022

WCF Ltd
Registered number: 02263148

INDEPENDENT AUDITOR'S REPORT

to the members of WCF Ltd

OPINION

We have audited the financial statements of WCF Ltd (the 'parent company') and its subsidiaries (the 'group') for the 52 week period ended 28 May 2022 which comprise the consolidated profit and loss account, the consolidated statement of comprehensive income, the group balance sheet, the company balance sheet, the group statement of changes in equity, the company statement of changes in equity, the group statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the group's and of the parent company's affairs as at 28 May 2022 and of the group's profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

CONCLUSIONS RELATING TO GOING CONCERN

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the group's and parent company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

OTHER INFORMATION

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

OPINIONS ON OTHER MATTERS PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

In the light of the knowledge and understanding of the group and the parent company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us; or
- the parent company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

RESPONSIBILITIES OF DIRECTORS

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the parent company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The specific procedures for this engagement and the extent to which these are capable of detecting irregularities, including fraud, is detailed below.

- Enquiries with management, including directors, about any known or suspected instances of non-compliance with laws and regulations and fraud;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular in relation to the valuation of share options granted during the year, the valuation and classification of investment properties and the key assumptions used in the valuation of the defined benefit pension deficit.
- Auditing the risk of management override of controls, including through testing journal entries and other adjustments for appropriateness; and
- Reviewing board minutes and resolutions.

Because of the field in which the client operates, we identified the following areas as those most likely to have a material impact on the financial statements: Health and Safety regulations, data security, environmental standards, transportation of dangerous goods regulations, and compliance with the Registered Dealers in Controlled Oil regulations.

Owing to the inherent limitations of an audit, there is an unavoidable risk that some material misstatements in the financial statements may not be detected, even though the audit is properly planned and performed in accordance with the ISAs (UK). For instance, the further removed non-compliance is from the events and transactions reflected in the financial statements, the less likely the auditor is to become aware of it or to recognise the non-compliance.

A further description of our responsibilities is available on the Financial Reporting Council's website at: <https://www.frc.org.uk/auditorsresponsibilities>. This description forms part of our auditor's report.

USE OF OUR REPORT

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Paul Williams (Senior Statutory Auditor)
For and on behalf of MHA Moore and Smalley
Chartered Accountants
Statutory Auditor
Richard House
9 Winckley Square
Preston PR1 3HP

7 September 2022

CONSOLIDATED PROFIT & LOSS ACCOUNT

For the 52 weeks ended 28 May 2022

	NOTE	2022 £'000	2021 £'000
Turnover		243,122	151,054
Cost of sales		(212,188)	(127,424)
Gross profit		30,934	23,630
Other operating expenses/income			
Other operating expenses	2	(24,590)	(19,667)
Other operating income	5	10	133
Other operating expenses before amortisation		(24,580)	(19,534)
Amortisation	9	(573)	(185)
Other operating expenses after amortisation		(25,153)	(19,719)
Operating profit	4	5,781	3,911
Interest receivable and similar income		45	39
Revaluation of fixed asset investments	11	(55)	769
Interest payable and similar expenses	3	(43)	(50)
Profit on ordinary activities before profit share		5,728	4,669
Employee profit share	6	(464)	(323)
Profit before taxation		5,264	4,346
Taxation	7	(1,222)	(712)
Profit for the financial period		4,042	3,634

The above results were derived from continuing operations.

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

For the 52 weeks ended 28 May 2022

	NOTE	2022 £'000	2021 £'000
Profit for the period		4,042	3,634
Other Comprehensive Income/(Expense)			
Actuarial gain recognised on retirement benefits	22	1,780	276
Deferred tax on actuarial (loss)	19	(338)	(53)
Other Comprehensive Income/(Expense) for the period, net of income tax		1,442	223
Total Comprehensive Income for the financial period		5,484	3,857

The notes on pages 23 to 44 form an integral part of these accounts.

BALANCE SHEETS

At 28 May 2022

ASSETS EMPLOYED

Fixed assets

		2022 £'000	2021 £'000	2022 £'000	2021 £'000
Intangible assets	9	4,653	1,293	1,065	838
Tangible assets	10	14,812	13,641	13,440	13,610
Investments	11	3,772	7,279	3,772	7,279
Investment property	12	1,005	1,005	1,005	1,005
Investment in subsidiaries	21	-	-	5,086	605

		24,242	23,218	24,368	23,337
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Current assets

Stocks	14	9,292	6,311	8,278	6,223
Debtors	15	22,175	13,514	23,122	13,609
Cash at bank and in hand		10,102	11,266	9,023	10,807

		41,569	31,091	40,423	30,639
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Creditors:

Amounts falling due within 1 year	16	(26,191)	(16,610)	(25,184)	(16,489)
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Net current assets		15,378	14,481	15,239	14,150
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Total assets less current liabilities

		39,620	37,699	39,607	37,487
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Creditors:

Amounts falling due after more than 1 year	17	(11)	-	-	-
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		39,609	-	39,607	-
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Provisions for liabilities

Deferred tax provision	19	(722)	-	(667)	-
Net retirement benefits liability	22	(100)	(2,635)	(100)	(2,635)

		38,787	35,064	38,840	34,852
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Net assets

Capital and reserves

Called up share capital	18	3,773	3,773	3,773	3,773
Capital redemption reserve		4,446	4,446	4,446	4,446
Fair value reserve		508	508	508	508
Investment in own shares		(2,872)	(2,772)	(2,872)	(2,772)
Retained earnings		32,932	29,109	32,985	28,897

Shareholders' funds		38,787	35,064	38,840	34,852
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No profit and loss account is presented for the company as permitted by Section 408 of the Companies Act 2006. The company made a profit after tax for the financial period of £4,542,000 (2021 - profit of £3,502,000).

The financial statements on pages 17 to 44 were approved by the Board of Directors on 7 September 2022 and were signed on its behalf by:

D A Routledge, Chairman

J L Ritzema, Managing Director

Registered Number 02263148

The notes on pages 23 to 44 form an integral part of these accounts.

STATEMENTS OF CHANGES IN EQUITY

For the 52 weeks ended 28 May 2022

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Balance at 31 May 2020	3,773	27,059	4,446	(2,892)	508	32,894
Group						
Changes in equity						
Total comprehensive income	-	3,857	-	-	-	3,857
Share appropriation	-	328	-	-	-	328
Other gains and losses on shares	-	25	-	-	-	25
Share appropriation over provision	-	(5)	-	-	-	(5)
Reversal of prior year share appropriation	-	(332)	-	-	-	(332)
Dividend paid to external shareholders	-	(1,823)	-	-	-	(1,823)
Movement in investment in own shares during the year	-	-	-	120	-	120
Balance at 29 May 2021	3,773	29,109	4,446	(2,772)	508	35,064
Group						
Changes in equity						
Total comprehensive income	-	5,484	-	-	-	5,484
Share appropriation	-	490	-	-	-	490
Other gains and losses on shares	-	(12)	-	-	-	(12)
Share appropriation over provision	-	(26)	-	-	-	(26)
Reversal of prior year share appropriation	-	(302)	-	-	-	(302)
Dividend paid to external shareholders	-	(1,811)	-	-	-	(1,811)
Movement in investment in own shares during the year	-	-	-	(100)	-	(100)
Balance at 28 May 2022	3,773	32,932	4,446	(2,872)	508	38,787

STATEMENTS OF CHANGES IN EQUITY (continued)

For the 52 weeks ended 28 May 2022

	Called up share capital £'000	Retained earnings £'000	Capital redemption reserve £'000	Investment in own shares £'000	Fair value reserve £'000	Total equity £'000
Company						
Balance at 31 May 2020	3,773	26,979	4,446	(2,892)	508	32,814
Changes in equity						
Total comprehensive income	-	3,725	-	-	-	3,725
Share appropriation	-	328	-	-	-	328
Other gains and losses on shares	-	25	-	-	-	25
Share appropriation over provision	-	(5)	-	-	-	(5)
Reversal of prior year share appropriation	-	(332)	-	-	-	(332)
Dividend paid to external shareholders	-	(1,823)	-	-	-	(1,823)
Movement in investment in own shares during the year	-	-	-	120	-	120
Balance at 29 May 2021	3,773	28,897	4,446	(2,772)	508	34,852
Company						
Changes in equity						
Total comprehensive income	-	5,984	-	-	-	5,984
Share appropriation	-	490	-	-	-	490
Other gains and losses on shares	-	(12)	-	-	-	(12)
Share appropriation over provision	-	(26)	-	-	-	(26)
Reversal of prior year share appropriation	-	(302)	-	-	-	(302)
Dividend paid to external shareholders	-	(1,811)	-	-	-	(1,811)
Movement in investment in own share during the year	-	-	-	(100)	-	(100)
Goodwill accumulated amortisation on hive up	-	(235)	-	-	-	(235)
Balance at 28 May 2022	3,773	32,985	4,446	(2,872)	508	38,840

CONSOLIDATED STATEMENT OF CASH FLOWS

For the 52 weeks ended 28 May 2022

	NOTE	2022 £'000	2021 £'000
Cash flows from operating activities			
Profit for the year		4,042	3,634
Adjustments for:			
Depreciation and amortisation charges		1,977	1,274
Profit on disposal of fixed assets		(108)	(181)
Interest payable and similar charges		43	50
Revaluation of fixed asset investments		55	(769)
Interest receivable and similar income		(45)	(39)
Movement in retirement benefit asset		(798)	(792)
Employee Profit Share		464	323
Taxation		1,222	712
		6,852	4,212
(Increase)/decrease in stocks		(2,981)	(276)
(Increase)/decrease in trade and other debtors		(8,773)	(5,018)
Increase/(decrease) in trade and other creditors		9,230	5,449
		4,328	4,367
Tax paid		(439)	(789)
Net cash from operating activities		3,889	3,578
Cash flows from investing activities			
Purchase of tangible fixed assets		(1,718)	(1,097)
Purchase of intangible assets		(93)	-
Sale of tangible fixed assets		643	454
Interest received		45	39
Acquisition of investments		(48)	(2,000)
Business combination		(5,156)	(3,887)
Proceeds from disposal of investments		3,500	-
Net cash from investing activities		(2,827)	(6,491)
Cash flows from financing activities			
Movement of own shares		(112)	145
Equity dividends paid		(1,811)	(1,823)
Employee profit share paid		(302)	(332)
Hire purchase repayments		(1)	-
Net cash from financing activities		(2,226)	(2,010)
Net decrease in cash and cash equivalents		(1,164)	(4,923)
Cash and cash equivalents at beginning of period	25	11,266	16,189
Cash and cash equivalents at end of period	25	10,102	11,266

The notes on pages 23 to 44 form an integral part of these accounts.

NOTES TO THE FINANCIAL STATEMENTS

1. ACCOUNTING POLICIES

WCF Limited is a company limited by shares and incorporated and domiciled in England. The registered office is Crawhall, Brampton, Cumbria CA8 1TN.

Period of accounting The financial statements have been prepared for the 52 week period ended 28 May 2022 and any references to the 'year' or 'period' in these accounts relate to this financial year.

Basis of accounting The financial statements have been prepared on a going concern basis in accordance with Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Ireland" and the Companies Act 2006 including the provisions of the large and medium sized companies and groups (Accounts and Reports Regulations) 2008. The financial statements have been prepared under the historical cost convention as modified by the revaluation of certain assets in the current and prior periods, as set out below.

Reduced disclosures This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements.

- Section 4 'Statement of Financial Position' - Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows' - Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' & Section 12 'Other Financial Instrument Issues' - Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument, basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment' - Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements.
- Section 33 'Related Party Disclosure' - Compensation for key management personnel.

Currency The financial statements have been prepared in UK sterling in round thousands.

Basis of consolidation The consolidated financial statements consolidate the financial statements of the company and its subsidiary undertakings drawn up to 28 May 2022. A subsidiary is an entity controlled by the company. Control is achieved where the company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the period are included in the Profit and Loss Account from the effective date of acquisition or up to the effective date of disposal, as appropriate. Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by the group.

The purchase method of accounting is used to account for business combinations that result in the acquisition of subsidiaries by the group. The cost of a business combination is measured as the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange, plus costs directly attributable to the business combination. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. Any excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised is recorded as goodwill.

1. ACCOUNTING POLICIES (continued)

Inter-company transactions, balances and unrealised gains on transactions between the company and its subsidiaries, which are related parties, are eliminated in full. Intra-group losses are also eliminated but may indicate an impairment that requires recognition in the consolidated financial statements.

Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

Turnover Turnover represents the amount receivable by the company in the ordinary course of business, net of value added tax, for goods and services supplied outside the company. Turnover is recognised on delivery of the goods or service.

No separate analysis of turnover has been provided in the notes to the financial statements, as in the opinion of the directors, to do so would be commercially prejudicial to the interests of the company.

Tangible fixed assets and depreciation Fixed assets are stated at cost, less accumulated depreciation. Depreciation is charged using either straight line basis or reducing balance method over the estimated useful economic life of the assets. No depreciation is charged on freehold land.

The following rates are applied by the company and group and are consistent with the prior financial year.

	Depreciation rates
Freehold buildings	2 - 4%
Leasehold buildings	Over length of lease
Plant and machinery	5 - 50%
Vehicles	20 - 50%

The gain or loss arising on the disposal of a fixed asset is determined as the difference between the net sale proceeds and the carrying amount of the asset. Where significant property or land disposals are made, these are not considered to constitute normal operating conditions and therefore disclosed below operating profit.

Government grants Grants relating to revenue are recognised in the profit and loss account on a systematic basis over the periods in which the related costs are recognised for which the grant is intended to compensate. Grants for the purpose of giving immediate financial support with no future related costs to be incurred are recognised in the profit and loss account when the grant proceeds become receivable.

Investment property Investment properties are properties held by the company to earn rentals and/or for capital appreciation. Investment properties are initially measured at cost, including transaction costs. Subsequently investment properties are measured at fair value by the directors with reference to corroborative market valuations. Investment property valuations are based on a fair value. Deferred tax is provided on these movements. Gains and losses arising from changes in the fair value of investment properties are included in the profit and loss account in the period in which they arise.

Cash and cash equivalents These are assets that are readily convertible into cash and includes current bank accounts, fixed term deposits and savings accounts, petty cash and currency.

Lessor accounting Assets held and leased to third parties are capitalised within tangible fixed assets and depreciated in accordance with the above policy. Lease rental receipts are credited to the profit and loss account in the period to which they relate.

1. ACCOUNTING POLICIES (continued)

Operating lease Payments (excluding costs for services and insurance) made under operating leases are recognised in the profit and loss account on a straight-line basis over the term of the lease unless the payments to the lessor are structured to increase in line with expected general inflation; in which case the payments related to the structured increases are recognised as incurred. Lease incentives received are recognised in profit and loss over the term of the lease as an integral part of the total lease expense. Premiums payable, rent free periods and capital contributions receivable on entering an operating lease are released on a straight line basis over the lease term or first break if applicable.

Finance lease Minimum lease payments are apportioned between the finance charge and the reduction of the outstanding liability using the rate implicit in the lease. The finance charge is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent rents are charged as expenses in the periods in which they are incurred.

Goodwill Purchased and acquisition goodwill is amortised on a straight line basis over 5 years. Any impairment is recognised immediately.

Stocks The basis of valuation of stocks is the lower of cost to the company and estimated net realisable value after considering any impairment losses.

Taxation The charge for corporation tax is based on the results for the year adjusted for items which are not taxed or are disallowed. It is calculated using tax rates in legislation that has been enacted or substantively enacted by the balance sheet date.

Deferred tax has been recognised as an asset or liability if transactions have occurred at the balance sheet date that give rise to an obligation to pay more tax in the future, or a right to pay less tax in the future. An asset is not recognised to the extent that the transfer in economic benefits in the future is uncertain. Deferred tax assets and liabilities recognised have not been discounted. Deferred tax is fully provided in respect of timing differences to the extent that it is probable a liability will arise or an asset will be recoverable in the foreseeable future.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled.

Fixed asset investments Equity investments are recognised initially at cost which is normally the transaction price (but excludes any transaction costs, where the investment is subsequently measured at fair value through the profit and loss). Subsequently they are measured at fair value through profit or loss except for those equity investments that are not publicly traded and whose fair value cannot otherwise be measured reliably which are recognised at cost less impairment until a reliable measure of fair value becomes available.

Investments in subsidiaries Investments in subsidiaries are measured at cost less impairment.

Trade debtors Trade debtors are initially recognised at transaction price and subsequently measured at amortised cost less allowances for situations where recovery is doubtful. Such allowances are based on an individual assessment of each allowance.

Trade creditors Trade creditors are initially recognised at transaction price and subsequently measured at amortised cost.

Employee Benefit Trust: The company is a sponsoring entity of WCF EBT in accordance with section 9, FRS102. The assets and liabilities of the EBT are recognised as an extension of WCF Ltd and are included in these financial statements. Appropriations are not disclosed within operating profit, as the directors consider the presentation adopted more accurately reflects the nature of the charge.

1. ACCOUNTING POLICIES (continued)

Foreign currencies Assets and liabilities in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are translated into sterling at the rate of exchange ruling at the date of transaction. Exchange differences are taken into account in arriving at the operating result.

Pensions For the company's defined benefit scheme the amounts charged to operating profit are the gains and losses on ordinary settlements and curtailments. They are included as part of staff costs. Past service costs are recognised immediately in the profit and loss account to the extent that the benefits are already vested, otherwise the costs are recognised over the period until vesting occurs. The interest cost and the expected return on assets are shown as a net amount of other charges or income adjacent to interest payable in the profit and loss account. Actuarial gains and losses are recognised immediately in the statement of other comprehensive income.

The assets of the scheme are held separately from those of the company in a separate trustee administered fund.

The assets of the pension scheme are measured at fair value and liabilities are measured on an actuarial basis using the projected unit method and discounted at a rate equivalent to the current rate of return on a high quality corporate bond of equivalent currency and term to the scheme liabilities. The actuarial valuations are obtained at least triennially and are updated at each balance sheet date. The resulting defined benefit asset or liability excluding the related deferred tax, is presented separately after other net assets on the face of the balance sheet.

Employer contributions made to the company's stakeholder and other defined contribution schemes are charged as an expense in the period to which they relate.

Share Based Payments Share-based payments relate to Save As You Earn options issued to employees which vest over 3 or 5 years and the company's annual employee profit share plan.

The fair value of employee share option plans is calculated at the grant date using the Black-Scholes model and the resulting cost charged to the profit and loss account over the vesting period, adjusted to reflect the company's estimate of shares that will eventually vest. The fair value of the employee profit share plan is calculated using the market value of the shares at the date of the award. The resulting cost is charged to the profit and loss account in the year in which the profit share is earned, if material.

Going Concern Policy The directors, having considered the current trading prospects, identifiable risks, working capital requirements and the level of cash held, are of the opinion that the company and group is a going concern having prepared forecasts for a period of at least 12 months from the date of signature of these financial statements. The accounts have been prepared on this basis.

Key judgements and sources of estimation uncertainty: The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the amounts reported for assets and liabilities as at the balance sheet date and the amounts reported for revenues and expenses during the year. However, the nature of estimation means that actual outcomes could differ from those estimates. The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements: Pension Assumptions for details of the assumptions made please refer to note 22 Pension Commitments. The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows:

Share based payment charge

The fair value of the share options has been estimated by the directors using the Black Scholes option pricing model. The directors were required to decide on a number of key inputs used in this model, as disclosed in note 24.

2. OTHER OPERATING EXPENSES

	2022 £'000	2021 £'000
Distribution costs	15,315	13,040
Administration costs	9,275	6,627
Other operating expenses	24,590	19,667

3. INTEREST PAYABLE AND SIMILAR CHARGES

	2022 £'000	2021 £'000
Net interest on the defined benefit pension liability	43	50
	43	50

4. EXPENSES AND AUDITOR'S REMUNERATION

	2022 £'000	2021 £'000
Included in operating profit are the following:		
Profit on sale of tangible fixed assets	108	181
Rents receivable	184	123
Income from fixed asset investments	87	65
And after charging:		
Depreciation of tangible fixed assets	1,404	1,089
Amortisation of intangible assets	573	185
Other operating lease rentals	2,181	1,582
GMP equalisation charge	-	60
Auditor's remuneration:		
Audit of these financial statements	45	39

5. GOVERNMENT GRANTS

Included in the profit and loss account are government grants receivable in respect of UK government initiatives to respond to the financial impact of the COVID-19 pandemic, namely the Coronavirus Job Retention Scheme and the Local Restrictions Support Grants. The amount of grants recognised in the financial statements was £5,000 (2021 - £133,000). Additional grant income in relation to apprenticeship schemes of £5,000 was also received in the year.

6. DIRECTORS AND EMPLOYEES

The average number of employees including executive directors during the year is split as follows:

	2022 Number	2021 Number
Administration	150	142
Operational	175	161
	325	303

Transactions with key management personnel

Total compensation of key management personnel (including the directors) in the year amounted to £1,909k (2021: £1,794k).

Employee costs:

Wages and salaries (including redundancy)
Social security
Pension contribution

	2022 £'000	2021 £'000
Wages and salaries (including redundancy)	10,195	8,501
Social security	889	775
Pension contribution	568	560
	11,652	9,836

Directors' remuneration:

Fees
Emoluments (excluding pension contributions)
Benefits in kind
Pension contributions

	2022 £'000	2021 £'000
Fees	45	53
Emoluments (excluding pension contributions)	397	335
Benefits in kind	24	34
Pension contributions	43	42
	509	464

Directors to whom retirement benefits were accruing was as follows:

Money purchase schemes

	2022 £'000	2021 £'000
Money purchase schemes	2	2
The number of directors who exercised share options was	1	1

6. DIRECTORS AND EMPLOYEES (continued)

Highest paid Director:

	2022 £'000	2021 £'000
Emoluments	200	177
Pension contributions	30	11
Benefits in kind	17	15
Aggregate emoluments	247	203

The highest paid director exercised 3,289 share options during the year (2021: 3,409) at an option price of £4.56 per share (2021: £4.40 per share).

All Employee Share Ownership Plan (AESOP)

The AESOP was established to enable employees to continue to share in the success of the company. Free shares are awarded to eligible employees in respect of a financial year if the company makes or exceeds its profit budget for that financial year. The profit budget was achieved in the current financial year and consequently a provision of £490,000 has been made for the purchase of shares (2021: £328,000). An over provision from prior year of £26,000 was released.

7. TAXATION

Total tax expense recognised in the profit & loss account and other comprehensive income

Current tax

	2022 £'000	£'000	2021 £'000	£'000
Current tax on income for the period	787		544	
Adjustment for prior period	(2)			
Total current tax		785		544

Deferred tax

Origination and reversal of timing differences	437		322	
Adjustment in respect of prior periods	-		(154)	
Deferred tax loss/(gain) on actuarial gain/(loss) (recognised in other comprehensive income)	338		53	
Total deferred tax		775		221
Total tax		1,560		765

7. TAXATION (continued)

Reconciliation of effective tax rate

	2022 £'000	2021 £'000
Profit for the period	4,042	3,634
Total tax expense	1,222	712
Profit excluding taxation	5,264	4,346
Tax using the UK corporation tax rate of 19% (2020: 19%)	1,000	826
Income not chargeable for tax purposes	(10)	(12)
Expenses not deductible for tax purposes	94	40
Other permanent differences	(6)	39
Deferred tax adjustments in respect of prior years	-	(154)
Market value adjustment in respect of exercised share options	(14)	(17)
Gains not taxable	(2)	(10)
Change in deferred corporation tax rates	160	-
Total tax expense included in profit & loss	1,222	712

An increase in the UK corporation tax rate to 25% from 1 April 2023 was substantively enacted in the UK on 24th May 2021. Deferred tax has been recognised at the rates in which the temporary differences are expected to materially reverse which equates to 25%.

8. DIVIDENDS

	2022 £'000	2021 £'000
Amounts recognised as distributions to equity holders in the year:	1,811	1,823

A dividend of 55.0 pence (2021: 55.0 pence) per ordinary share was authorised and paid during the year relating to the previous year's results. Of the dividends paid during the year, £nil (2021: £nil) was paid to the Employee Benefit Trust. The actual dividend paid is lower than proposed due to waiver of dividend on shares held by the Employee Benefit Trust at the declared dividend date.

The directors have authorised an ordinary dividend of 73.0 pence (2021: 55.0 pence) per share totalling £2,754,000 (2021: £2,075,000). This has not yet been included as a liability in these accounts. The authorised dividends will be paid by 2 December 2022 to shareholders who are on the register of members as at 7 September 2022.

9. INTANGIBLE FIXED ASSETS

Group

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 30 May 2021	7,216	-	7,216
Additions	-	93	93
Acquired through business combinations	3,840	-	3,840
At 28 May 2022	11,056	93	11,149
Amortisation			
At 30 May 2021	5,923	-	5,923
Amortisation charge	562	11	573
At 28 May 2022	6,485	11	6,496
Carrying amount			
At 28 May 2022	4,571	82	4,653
At 29 May 2021	1,293	-	1,293

Company

	Goodwill £'000	Software £'000	Total £'000
Cost			
At 30 May 2021	6,616	-	6,616
Additions	-	93	93
Transfer from investments on hive up	365	-	365
At 28 May 2022	6,981	93	7,074
Amortisation			
At 30 May 2021	5,778	-	5,778
Amortisation charge	220	11	231
At 28 May 2022	5,998	11	6,009
Carrying amount			
At 28 May 2022	983	82	1,065
At 29 May 2021	838	-	838

Amortisation charge with respect to intangible assets is included within administrative expenses.

10. TANGIBLE FIXED ASSETS

Group	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'000
Cost:				
At 30 May 2021	12,381	7,087	1,537	21,005
Additions	609	716	393	1,741
Acquired through business combinations	1,124	250	18	1,392
Disposals	(555)	(65)	(173)	(793)
At 28 May 2022	13,559	7,988	1,775	23,322
Depreciation and Impairment:				
At 30 May 2021	2,838	4,048	478	7,364
Charge for year	411	734	259	1,404
Disposals	(115)	(38)	(105)	(258)
At 28 May 2022	3,134	4,744	632	8,510
Net book value:				
At 29 May 2021	9,543	3,039	1,059	13,641
At 28 May 2022	10,425	3,244	1,143	14,812

The net book value of land and buildings comprises:

	2022 £'000	2021 £'000
Freehold	9,671	8,754
Long leasehold (over 50 years unexpired)	521	541
Short leasehold (less than 50 years)	233	248
	10,425	9,543

10. TANGIBLE FIXED ASSETS (continued)

Company	Land and Buildings £'000	Plant and Machinery £'000	Vehicles £'000	Total £'000
Cost:				
At 30 May 2021	12,381	7,057	1,537	20,975
Additions	609	739	393	1,741
Disposals	(555)	(65)	(173)	(793)
At 28 May 2022	12,435	7,731	1,757	21,923
Depreciation				
At 30 May 2021	2,838	4,049	478	7,365
Charge for year	411	709	256	1,376
Disposals	(115)	(38)	(105)	(258)
At 28 May 2022	3,134	4,720	629	8,483
Carrying amount:				
At 29 May 2021	9,543	3,008	1,059	13,610
At 28 May 2022	9,301	3,011	1,128	13,440

The net book value of land and buildings comprises:

	2022 £'000	2021 £'000
Freehold	8,547	8,754
Long leasehold (over 50 years unexpired)	521	541
Short leasehold (less than 50 years)	233	248
	9,301	9,543

11. FIXED ASSET INVESTMENTS

Group and Company

Cost or Valuation

At 30 May 2021	Listed Investments £'000
Additions	7,279
Fair value adjustments	48
Disposals	(55)
	(3,500)

At 28 May 2022	3,772
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Net book value

At 28 May 2022	3,772
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At 29 May 2021	7,279
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If fixed asset investments had not been revalued they would have been included at the following historical cost:

	2022 £'000	2021 £'000
Cost	3,359	5,975

Fixed asset investments were valued on an open market value basis on 28 May 2022 by Rathbones.

12. INVESTMENT PROPERTIES

Group and Company

Fair value

	2022 £'000	2021 £'000
At 29 May 2021	1,005	1,005
At 28 May 2022	1,005	1,005

If the investment properties had not been revalued they would have been included at the following historical cost:

	2022 £'000	2021 £'000
Cost	497	497
Carrying value	422	440

The investment properties were valued to a fair value on 28 May 2022 by the Directors with reference to the original purchase price paid, independent valuations since the purchase date and current market yields. The properties were last independently valued at July 2017 by Walton Goodland on an open market value basis for current use in accordance with RICS Appraisal and Valuation Manual.

13. BUSINESS COMBINATIONS

On 11 November 2021, WCF Ltd acquired 100% of the issued share capital of Progreen Weed Control Solutions Limited (retailer of weed killers, moss and algae control products, fertilisers and grass seed), obtaining control. Progreen Weed Control Solutions Limited contributed £1,771,000 revenue and £164,000 to the group's profit for the period between the date of acquisition and the balance date. The amounts recognised in respect of the identifiable assets acquired and liabilities assumed are as set out in the table below.

	Book and fair value £'000
Assets and liabilities acquired	
Financial assets	896
Stocks	504
Tangible assets	43
Financial liabilities	(537)
Total identifiable assets	906
Goodwill	2,272
Total consideration	3,178
Satisfied by:	
Cash	3,178

On 22 April 2022, WCF Ltd acquired 100% of the issued share capital of Longnor Wood Holiday Park Limited (caravan and camping park), obtaining control. Longnor Wood Holiday Park Limited contributed £112,000 revenue and £32,000 to the group's profit for the period between the date of acquisition and the balance sheet date. The amounts recognised in respect of the identifiable assets acquired and liabilities assumed are set out in the table below.

	Book and fair value £'000
Assets and liabilities acquired	
Financial assets	222
Stocks	3
Tangible assets	1,349
Financial liabilities	(1,234)
Total identifiable assets	340
Goodwill	1,568
Total consideration	1,908
Satisfied by:	
Cash	1,908

The useful life of goodwill is 5 years for all business combinations.

14. STOCKS

	Group		Company	
	2022 £'000	2021 £'000	2022 £'000	2021 £'000
Raw materials and consumables	623	620	623	620
Finished goods	8,669	5,691	7,655	5,603
	9,292	6,311	8,278	6,223

15. DEBTORS

	Group		Company	
	2022 £'000	2021 £'000	2022 £'000	2021 £'000
Amounts falling due within one year				
Trade debtors	19,452	11,218	19,434	11,218
Amounts owed by group undertakings	-	-	1,000	93
Other debtors	1,798	1,366	1,803	1,365
Deferred tax asset (see note 19)	-	112	-	117
Prepayments and accrued income	920	812	885	810
	22,170	13,508	23,122	13,603
Amounts falling due after more than one year				
Other debtors	5	6	-	6
Total debtors	22,175	13,514	23,122	13,609

16. CREDITORS DUE WITHIN ONE YEAR

	Group		Company	
	2022 £'000	2021 £'000	2022 £'000	2021 £'000
Finance lease liabilities	5	-	-	-
Trade creditors	21,031	12,894	20,485	12,828
Corporation tax	683	337	443	286
Other taxation and social security	592	370	493	387
Accruals and deferred income	3,880	3,009	3,763	2,988
	26,191	16,610	25,184	16,489

17. LEASING AGREEMENTS AND FINANCIAL COMMITMENTS

Finance Leases

Certain motor vehicles are held under finance lease arrangements. The lease agreements generally include fixed lease payments and a purchase option at the end of lease term.

The total of future minimum lease payments is as follows:

	2022 £'000	2021 £'000
Within one year	5	-
Between one year and five years	11	-
	16	-

The total future minimum repayments under non-cancellable operating leases are as follows:

	2022 £'000	2021 £'000
Within one year		
Non cancellable operating leases		
Within one year	1,914	1,840
Between one and five years	5,513	4,854
More than five years	2,767	3,131
	10,194	9,825

Operating leases are primarily in respect of commercial vehicles and the companies operating locations.

At the year end there were unsettled forward currency contracts amounting to £90,106 (2021: £376,513) in respect of hedging of currency risk in relation to the purchase of certain stock items. No asset or liability has been recognised as the directors do not believe the impact to be material to the financial statements.

Operating leases - lessor

The total of future minimum lease receivables is as follows:

	2022 £'000	2021 £'000
Within one year	184	144
Between one and five years	400	283
More than five years	7	143
	591	570

18. CALLED UP SHARE CAPITAL

Allotted, called up and fully paid
3,773,352 ordinary shares of £1

2022 £'000	2021 £'000
3,773	3,773

All shares which rank equally carry no fixed right to income. At the end of the financial year, options for 214,913 shares (2021: 182,615) were held by employees under the company's save as you earn share option scheme.

19. DEFERRED TAX ASSETS

Group

	2022 £'000
Movements in the period	
Asset at 29 May 2021	(112)
Charge to profit or loss	437
Charge to other comprehensive income	338
Arising on business combinations	59
Liability at 28 May 2022	722

The total deferred taxation at 25% (2021: 19%) is as follows:

	2022 £'000	2021 £'000
Timing differences		
Accelerated capital allowances	925	528
Available losses	(456)	(482)
Capital gains rolled over	225	171
Pension payments	-	(81)
Fixed asset investment revaluations	230	344
Deferred tax on retirement benefit liability	(25)	(501)
Other	(61)	(30)
Employee Share Bonus	(116)	(61)
	722	(112)

The expected net reversal of deferred tax in the following year is £160,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

19. DEFERRED TAX ASSETS (continued)

Company

	2022 £'000
Movements in the period	
Asset at 29 May 2021	(117)
Charge to profit or loss	446
Charge to other comprehensive income	338
	667

The total deferred taxation at 25% (2021: 19%) is as follows:

	2022 £'000	2021 £'000
Timing differences		
Accelerated capital allowances	870	523
Available losses	(456)	(482)
Capital gains rolled over	225	171
Pension payments	-	(81)
Fixed asset investment revaluations	230	344
Deferred tax on retirement benefit liability	(25)	(501)
Other	(61)	(30)
Employee Share Bonus	(116)	(61)
	667	(117)

The expected net reversal of deferred tax in the following year is £150,000. This excludes any movement pertaining to deferred tax on retirement benefit obligations as it is not possible to estimate the expected unwind.

20. CAPITAL COMMITMENTS

	2022 £'000	2021 £'000
Commitments for the acquisition of plant and machinery	-	175
Commitments for the acquisition of land and buildings	-	677
	-	852

21. INVESTMENTS IN SUBSIDIARIES

Company

£'000

Subsidiaries

Cost

At 30 May 2021	605
Additions	5,086
Disposals	(600)
Impairment	(5)
At 28 May 2022	5,091

Carrying amount

At 28 May 2022	5,091
At 29 May 2021	605

On 28 February 2022 the trade and assets of subsidiary, A1 Lawn Limited, were hived up into WCF Ltd, resulting in the transfer of goodwill out of the cost of the investment.

Details of the investments (including principal place of business of unincorporated entities) in which the company holds 20% or more of the normal value of any class of share capital are as follows:

Undertaking	Registered office	Holding	Proportion of voting rights and shares held	
			2022	2021
Subsidiary undertakings				
A1 Lawn Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	100%
Progreen Weed Control Solutions Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	0%
Longnor Wood Holiday Park Limited	Crawhall, Brampton Cumbria CA8 1TN	Ordinary	100%	0%

For the current and prior year the above subsidiaries were entitled to exemption from Audit under section 479A of Companies Act 2006 and WCF Ltd has provided a parent company guarantee on behalf of these subsidiaries.

22. PENSION COMMITMENTS

Group and Company

The company operates a defined benefit scheme in the UK, namely the WCF Ltd Staff Retirement Benefits Scheme ('the Scheme'). As the scheme closed to future accrual on 1 April 2016 no ordinary contributions were made in the year.

The major assumptions used by the independent, qualified actuary in producing this year's FRS 102 disclosures were:

	28/05/2022	29/05/2021
Discount rate	3.45%	1.95%
Inflation rate	3.00%	3.00%
Rate of increase in pensions in payment	2.95%	2.95%

The company has provided for the rate of increase of inflation-linked pensions in payment and in deferment to be linked to the CPI measure of inflation with effect from 1 April 2012.

Under FRS 102 the expected return on assets has been set up for the current year to equal the discount rate of 3.45%, (2021:1.95%) and does not reflect the expected return on the actual scheme assets.

The company has agreed to pay deficit contributions of £833,333 per annum payable on or before 31 March each year from 2021 to 2023 inclusive.

The following table shows the life expectancies for example members each year, based on the assumed mortality tables for this year and last year.

<i>Life expectancy (years)</i>	28/05/2022	29/05/2021	
Current pensioner aged 65 (male)	21.0	21.0	
Current pensioner aged 65 (female)	24.0	24.0	
Future pensioner aged 65 (male)*	23.0	23.0	
Future pensioner aged 65 (female)*	26.0	25.0	*Currently aged 45.

As at 28 May 2022, all members were assumed to commute part of their pension in order to receive tax-free cash in line with the post 'A-Day' maximum.

The amounts recognised in the balance sheet are as follows:

	2022 £'000	2021 £'000
Funded defined benefit obligation	(12,660)	(16,387)
Fair value of plan assets	12,560	13,752
Net pension liability	(100)	(2,635)

The amounts recognised in the profit and loss account are as follows:

	2022 £'000	2021 £'000
Administration expenses	135	81
Past service cost	-	60
Interest cost	315	248
Expected return on plan assets	(272)	(198)
Other financing charge	178	191
Profit and loss charge	178	191

22. PENSION COMMITMENTS (continued)

Changes in the present value of the defined benefit obligation are as follows:

	2022 £'000	2021 £'000
Defined benefit obligation at start of year	16,387	16,184
Past service cost	-	60
Interest cost	315	248
Actuarial (gains)/losses	(3,624)	222
Benefits and expenses paid	(418)	(327)
Defined benefit obligation at end of year	12,660	16,387

Changes in the fair value of plan assets are as follows:

	2022 £'000	2021 £'000
Plan assets at start of year	13,752	12,531
Employer contributions - administration contribution	100	100
Employer contributions - actuarial deficit funding	833	833
Expected return on assets	272	198
Actuarial (losses)/gain on plan assets	(1,844)	498
Benefits and expenses paid	(553)	(408)
Plan assets at end of year	12,560	13,752
Actual return on assets	(1,572)	696

The major categories of plan assets as a percentage of total plan assets are as follows:

Proportion of total assets	2022	2021
Diversified Growth Funds	72.2%	73.0%
Cash	11.6%	6.2%
LDI	16.2%	20.8%

The amounts recognised in the statement of other comprehensive income are as follows:

	2022 £'000	2021 £'000
Actuarial gains	1,780	276
Total income recognised in statement of other comprehensive income	1,780	276

23. ULTIMATE CONTROLLING PARTY

The company is owned by a large number of shareholders and as such there is no single ultimate controlling party.

24. SHARE-BASED PAYMENTS

Group and Company

The group has calculated the charge on share-based payments in relation to Save As You Earn (SAYE) options granted after 7 November 2002. Neither the charge nor the adjustment to opening reserves are deemed to be material in relation to the accounts and accordingly no adjustment has been made.

The company had one SAYE equity-settled option scheme in operation during the year with a grant date following 7 November 2002. This permits the grant of options to employees in respect of ordinary shares linked to a SAYE contract for a term of three or five years, with contributions from employees of an amount between £5 and £500 per month. Options are capable of being exercised at the end of the option period at a subscription price of 80% of the market value of the shares at the time of the offer.

At 28 May 2022 there were 214,193 options outstanding.

The number and weighted average exercise prices of share options are as follows:

	Weighted average exercise price 2022	Number of options 2022	Weighted average exercise price 2021	Number of options 2021
Outstanding at the beginning of the period	4.72	182,615	4.58	197,158
Forfeited during the period	4.80	(10,787)	4.71	(20,841)
Exercised during the period	4.56	(44,083)	4.42	(56,271)
Granted during the period	5.00	86,448	4.80	62,569
Outstanding at the end of the period	4.86	214,193	4.72	182,615
Exercisable at the end of the period	4.86	214,193	4.72	182,615

The fair value of the share options at the date of grant was estimated using the Black-Scholes option pricing model. The following table gives the assumptions applied:

Expected dividend yield	7.4%	Expected life of option	3 or 5 years
Expected volatility	15% - 32%	Underlying share price	570, 600 or 625 pence
Risk-free interest rate	1.00%	Exercise share price	456, 480 or 500 pence

25. ANALYSIS OF CHANGES IN NET FUNDS

Group

	30 May 2021 £'000	Cash flows £'000	28 May 2022 £'000
Cash at bank and in hand	11,266	(1,164)	10,102

26. COVID-19

The company continued to be affected during the financial year by the COVID-19 global pandemic, although its financial results were not materially impacted by the crisis. The main implication remained the continued health and welfare of its employees, customers, suppliers and communities and we adopted flexible and remote working wherever possible, as well as having robust and thorough procedures to maintain safe and secure workplaces.

The closure of non-essential retail had a positive impact on its mail order and online operations but not to the extent of previous year. Our retail stores were classed as essential. Our campsites benefitted from continuing restrictions on overseas travel.

Whilst we continued to experience some disruption to our supply chains during the pandemic this did not have a huge impact.

27. RESERVES

Retained earnings

Capital redemption reserve

Investment in own shares

Fair value reserve

- cumulative profit and loss net of distributions
- the nominal value of shares repurchased and still held at the end of the reporting period
- relates to the shares held within the Employee Benefit Trust.
- is the cumulative fair value gains and losses relating to investment properties measured at fair value

Included within the Group and Company retained earnings reserve at 28 May 2022 is £310k (2021: £1,056k) in respect of unrealised gains on listed investments which are non-distributable.

WCF LTD - DIVIDEND POLICY

DIVIDEND POLICY

The dividend policy of WCF shall be linked to annual earnings and calculated as follows:

Not less than 45% of profit before non-recurring items excluding the impact of any financial accounting adjustments

This means that shareholder income is directly linked to the current financial success of the company. It is the Board's objective to grow profits annually and we expect this to result in progressive dividend growth for our shareholders. However, shareholders should be aware that a large part of WCF's income comes from bulk fuel oil distribution. By its very nature this is a seasonal business and profits can sometimes be affected by circumstances beyond our control. This has the risk of some volatility of dividend payments going forward. The directors recognise that our shareholders value sustainable dividend growth and will aim to smooth the distribution from retained profits by varying the % pay-out. However, shareholders have the opportunity to benefit financially in a good year.

When setting its dividend policy, the Directors of WCF Ltd have considered several factors when deciding what portion of profits should be paid out to our shareholders, all who own a minority interest, in the form of an annual dividend. Any remaining profits will be shared amongst our employees and re-invested into the company for future:

- Share purchases from those shareholders who wish to sell their shares
- Maintenance and investment in our facilities
- Investment in new sites
- Acquisition opportunities
- New business development
- Credit rating with major supply partners
- Pension funding obligations

The Directors may, at their discretion, agree a special dividend in relation to profits arising from exceptional items.

Dividends will be paid annually by December. Any shareholder wishing to receive an annual dividend payment must provide the company with their bank details so that these payments can be made electronically as we no longer make payments by cheque.

Any shareholder wanting to review historic share prices and dividend payments should visit our website at <https://www.wcf.co.uk/pdf/1516957867Share%20Price%20Summary.pdf>.



Our Brands



Allan Stobart Fuels



WCF Ltd., Head Office: Crawhall, Brampton, Cumbria CA8 1TN